

- 6406533530347. ✔ TV Audience panel
- 6406533530348. ✖ Retail audit
- 6406533530349. ✖ Radio Audience Panel
- 6406533530350. ✖ Press ad expenditure track
- 6406533530351. ✖ TV ad expenditure track
- 6406533530352. ✖ Radio ad expenditure track
- 6406533530353. ✖ Prescription audit

Question Number : 289 Question Id : 6406531045718 Question Type : MCQ
Correct Marks : 2

Question Label : Multiple Choice Question
 The total number of spots on TV for each brand in a category?

- Options :**
- 6406533530354. ✖ Consumer panel
 - 6406533530355. ✖ Indian Readership Study
 - 6406533530356. ✖ TV Audience panel
 - 6406533530357. ✖ Retail audit
 - 6406533530358. ✖ Radio Audience Panel
 - 6406533530359. ✖ Press ad expenditure track
 - 6406533530360. ✔ TV ad expenditure track
 - 6406533530361. ✖ Radio ad expenditure track
 - 6406533530362. ✖ Prescription audit

Corporate Finance

Section Id :	64065375583
Section Number :	13
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	36
Number of Questions to be attempted :	36
Section Marks :	100
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Enable Mark as Answered Mark for Review and Clear Response :	No
Section Maximum Duration :	0
Section Minimum Duration :	0
Section Time In :	Minutes

Maximum Instruction Time : 0
Sub-Section Number : 1
Sub-Section Id : 640653161234
Question Shuffling Allowed : No

Question Number : 290 Question Id : 6406531045719 Question Type : MCQ

Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : CORPORATE FINANCE (COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?

CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE [TOP](#) FOR THE SUBJECTS REGISTERED BY YOU)

Options :

6406533530363. ✓ YES

6406533530364. ✗ NO

Sub-Section Number : 2

Sub-Section Id : 640653161235

Question Shuffling Allowed : Yes

Question Number : 291 Question Id : 6406531045720 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

The put-call parity result for a non-dividend-paying stock states that the European put price plus the present value of the strike price must equal the European call price plus the stock price.

Options :

6406533530365. ✗ TRUE

6406533530366. ✓ FALSE

Question Number : 292 Question Id : 6406531045721 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

The delta of an option is the ratio of a change in the option price to the corresponding change in the stock price.

Options :

6406533530367. ✓ TRUE

6406533530368. ✗ FALSE

Question Number : 293 Question Id : 6406531045722 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

In the Black-Scholes pricing formula, stock prices are considered to be log-normally distributed.

Options :

6406533530369. ✓ TRUE

6406533530370. ✗ FALSE

Question Number : 294 Question Id : 6406531045723 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

A call option is in-the-money when the stock price is higher than the strike price.

Options :

6406533530371. ✓ TRUE

6406533530372. ✗ FALSE

Question Number : 295 Question Id : 6406531045724 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

Liabilities of a commercial bank include loans, deposits with other banks and the central bank, and various securities that the bank holds.

Options :

6406533530373. ✗ TRUE

6406533530374. ✓ FALSE

Question Number : 296 Question Id : 6406531045725 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

The part of the minimum-variance frontier that lies above the global minimum-variance portfolio is called the efficient frontier.

Options :

6406533530375. ✓ TRUE

6406533530376. ✗ FALSE

Question Number : 297 Question Id : 6406531045726 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

According to CAPM, projects with higher beta require a lower expected rate of return.

Options :

6406533530377. ✗ TRUE

6406533530378. ✓ FALSE

Question Number : 298 Question Id : 6406531045727 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

When assets have a perfect positive correlation, there are no benefits from diversification.

Options :

6406533530379. ✓ TRUE

6406533530380. ✗ FALSE

Question Number : 299 Question Id : 6406531045728 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

The yield curve shows the relation between interest rates and maturity.

Options :

6406533530381. ✓ TRUE

6406533530382. ✗ FALSE

Question Number : 300 Question Id : 6406531045729 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

An investor can diversify the systematic risk.

Options :

6406533530383. ✗ TRUE

6406533530384. ✓ FALSE

Sub-Section Number :

3

Sub-Section Id :

640653161236

Question Shuffling Allowed :

Yes

Question Number : 301 Question Id : 6406531045730 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

You found an ancient painting in your home that was purchased by your father 20 years ago for Rs 1,000. You auction it and sell it for Rs 30,000. What is the annualized rate of return that is earned on the painting?

Options :

6406533530385. ✗ 8.52%

6406533530386. ✓ 18.54%

6406533530387. ✗ 27.38%

6406533530388. ✗ 32.14%

Question Number : 302 Question Id : 6406531045731 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

The Tata Steel stock is trading at Rs 300 today. Tata Steel is expected to pay a dividend of Rs 20 per share next year. If the growth rate of Tata Steel's dividend is 2% every year and the appropriate rate of return is 7% per year, then according to the Gordon growth model

Options :

6406533530389. ✓ The Tata Steel stock is underpriced, and an investor should buy Tata Steel shares.

6406533530390. ✗ The Tata Steel stock is overpriced, and an investor should buy Tata Steel shares.

6406533530391. ✗ The Tata Steel stock is underpriced, and an investor should sell Tata Steel shares.

6406533530392. ✗ The Tata Steel stock is overpriced, and an investor should sell Tata Steel shares.

Question Number : 303 Question Id : 6406531045732 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

There are two assets: a risk-free asset that offers a 6% rate of return and a risky asset that has an expected rate of return of 15% and a standard deviation of 10%. What is the slope of the Capital Allocation Line consisting of these two assets?

Options :

6406533530393. ✗ 1.5

6406533530394. ✓ 0.9

6406533530395. ✗ -0.9

6406533530396. ✗ -1.5

Question Number : 304 Question Id : 6406531045733 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

There are two risky assets that are negatively correlated with $\rho = -0.5$. Asset 1 has an expected return of 15% and a standard deviation of 10%. Asset 2 has an expected return of 20% and a standard deviation of 12%. What are the weights of the assets in the minimum variance portfolio?

Options :

6406533530397. ✗ $w_1 = 0.33, w_2 = 0.67$

6406533530398. ✗ $w_1 = 0.44, w_2 = 0.56$

6406533530399. ✓ $w_1 = 0.56, w_2 = 0.44$

6406533530400. ✖ $w_1 = 0.67, w_2 = 0.33$

Question Number : 305 Question Id : 6406531045734 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Sahitya Inc. is considering two different projects, A and B, for investment and can choose at most one project to invest in. Project A costs Rs 12,000 and is expected to generate Rs 5,000 in year one and Rs 10,000 in year two. Project B costs Rs 10,000 and is expected to generate Rs 5,000 in year one, Rs 4,000 in year two, Rs 3,000 in year three, and Rs 2,000 in year four. Sahitya Inc.'s required rate of return for these projects is 5%. Which of the following is true?

Options :

6406533530401. ✔ Sahitya Inc. should prefer Project B as it has a higher net present value than Project A.

6406533530402. ✖ Sahitya Inc. should prefer Project A as it has a higher net present value than Project B.

6406533530403. ✖ Sahitya Inc. is indifferent between Project A and Project B as both have the same net present value.

6406533530404. ✖ Sahitya Inc. should not invest in either projects A or B as both have negative net present value.

Question Number : 306 Question Id : 6406531045735 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

A British Pound buys 100 Russian Rubles. The GDP deflator in Russia is 110, while the GDP deflator in the UK is 105. What is the real GBP to RUB exchange rate? [Note: Exchange rate is defined with the UK as a home country and Russia as a foreign country]

Options :

6406533530405. ✖ 83.81

6406533530406. ✖ 76.36

6406533530407. ✔ 95.45

6406533530408. ✖ 104.76

Question Number : 307 Question Id : 6406531045736 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

The prevailing interest rate in India is 9%, and the prevailing interest rate in the UK is 5%. What is the expected rate of appreciation of INR to GBP exchange rate?

Options :

6406533530409. ✔ -3.67%

6406533530410. ✖ -1.84%

6406533530411. ✖ 3.81%

6406533530412. ✖ 1.62%

Question Number : 308 Question Id : 6406531045737 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

The share price for Infosys is Rs 500 today. A trader invests in Infosys by buying 100 European call options on Infosys for Rs 10 each with a strike price of Rs 490 and maturity of three months. What is the gain or loss if the share price on the maturity date is Rs 495?

Options :

6406533530413. ✖ Rs 0, no gain, no loss

6406533530414. ✔ Rs 500 loss

6406533530415. ✖ Rs 500 gain

6406533530416. ✖ Rs 1000 loss

Question Number : 309 Question Id : 6406531045738 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Which of the following describes a short position in an option?

Options :

6406533530417. ✖ A position in an option lasting less than one month.

6406533530418. ✖ A position in an option lasting less than one year.

6406533530419. ✔ A position where an option has been sold.

6406533530420. ✖ A position where an option has been purchased.

Question Number : 310 Question Id : 6406531045739 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Consider a put option and a call option with the same strike price and time to maturity. Which of the following is TRUE?

Options :

6406533530421. ✖ It is possible for both options to be in the money.

6406533530422. ✖ It is possible for both options to be out of the money.

6406533530423. ✖ One of the options must be at the money.

6406533530424. ✔ One of the options must be either in the money or at the money.

Question Number : 311 Question Id : 6406531045740 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

The price of a stock is Rs 84. A trader buys a put option on the stock with a strike price of Rs 80

when the option price is Rs 10. When does the trader make a profit?

Options :

- 6406533530425. ✖ When the stock price is below Rs 90
- 6406533530426. ✖ When the stock price is below Rs 84
- 6406533530427. ✖ When the stock price is below Rs 77
- 6406533530428. ✔ When the stock price is below Rs 74

Question Number : 312 Question Id : 6406531045741 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

When volatility increases with all else remaining the same, which of the following is true?

Options :

- 6406533530429. ✔ Both calls and puts increase in value
- 6406533530430. ✖ Both calls and puts decrease in value
- 6406533530431. ✖ Calls increase in value while puts decrease in value
- 6406533530432. ✖ Puts increase in value while calls decrease in value

Question Number : 313 Question Id : 6406531045742 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

When the strike price increases with all else remaining the same, which of the following is true?

Options :

- 6406533530433. ✖ Both call and put increase in value
- 6406533530434. ✖ Both calls and puts decrease in value.
- 6406533530435. ✖ Calls increase in value while puts decrease in value
- 6406533530436. ✔ Puts increase in value while calls decrease in value

Question Number : 314 Question Id : 6406531045743 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Which of the following describes a protective put?

Options :

- 6406533530437. ✔ Buy a put option on a stock plus a long position in the stock.
- 6406533530438. ✖ Buy a put option on a stock plus a short position in the stock.
- 6406533530439. ✖ Sell a put option on a stock plus a short call option on the stock.
- 6406533530440. ✖ Sell a put option on a stock plus a long position in the stock.

Question Number : 315 Question Id : 6406531045744 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

You purchase two one-year call options with a strike price of Rs 80 and a one-year put option with a strike price of Rs 80. The call premium is Rs 4, and the put premium is Rs 3. The current share price is Rs 78. If one year later, the share price increases to Rs 87

Options :

6406533530441. ✖ You make a profit of Rs 14.

6406533530442. ✔ You make a profit of Rs 3.

6406533530443. ✖ You incur a loss of Rs 3.

6406533530444. ✖ You incur a loss of Rs 11.

Question Number : 316 Question Id : 6406531045745 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

The price of a three-month European put option on a non-dividend-paying stock with a strike price of Rs 60 is Rs 6. The stock price is Rs 58, and the annual risk-free rate is 8% (continuously compounded). What is the price of a three-month European call option on the stock with a strike price of Rs 60?

Options :

6406533530445. ✖ Rs 9.45

6406533530446. ✔ Rs 5.19

6406533530447. ✖ Rs 2.09

6406533530448. ✖ Rs 0.64

Question Number : 317 Question Id : 6406531045746 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

A stock is trading at Rs 100 today. In 3 months, the stock price can either increase to Rs 120 or decrease to Rs 90. The three-month risk-free rate is 5%. A three-month call option has an exercise price of Rs 105. What is the risk-neutral probability that stock price increases?

Options :

6406533530449. ✖ 40.0%

6406533530450. ✔ 50.0%

6406533530451. ✖ 53.3%

6406533530452. ✖ 60.0%

Question Number : 318 Question Id : 6406531045747 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

In the Black-Scholes pricing formula for a call option, $N(d_1) = 0.6$ and $N(d_2) = 0.5$.

If the stock price increases by Rs 1, then what will be the change in the price of the option?

Options :

6406533530453. ✖ The call option price increases by Rs 1.
6406533530454. ✔ The call option price increases by Rs 0.6.
6406533530455. ✖ The call option price increases by Rs 0.5.
6406533530456. ✖ The call option price decreases by Rs 0.6

Question Number : 319 Question Id : 6406531045748 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

You invest 60% of your money in a security with a beta of 1.35 and the rest of your money in risk-free security. The beta of your portfolio is

Options :

6406533530457. ✔ 0.81
6406533530458. ✖ 1.25
6406533530459. ✖ 1.81
6406533530460. ✖ 2.25

Question Number : 320 Question Id : 6406531045749 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Your opinion is that Cipla stock has an expected rate of return of 15%. Cipla has a beta of 1.5. The risk-free rate of return is 5%, and the expected market rate of return is 12%. According to the capital asset pricing model, Cipla is

Options :

6406533530461. ✔ Overpriced
6406533530462. ✖ Underpriced
6406533530463. ✖ Fairly priced
6406533530464. ✖ Insufficient information

Sub-Section Number :

4

Sub-Section Id :

640653161237

Question Shuffling Allowed :

Yes

Question Number : 321 Question Id : 6406531045750 Question Type : SA

Correct Marks : 4

Question Label : Short Answer Question

The current price of a non-dividend-paying stock is Rs 50. Over the next six months, it is expected to rise to Rs 70 or fall to Rs 40. Assume the risk-free rate is zero. A six-month call option with a strike price of Rs 55 is trading at Rs 5. How many options are required to hedge the purchase of 2 shares of the stock?

Note:The answer is a single digit integer between 0-9.

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

4

Question Number : 322 Question Id : 6406531045751 Question Type : SA

Correct Marks : 4

Question Label : Short Answer Question

A risky asset has a 10% expected rate of return and a 20% standard deviation of the rate of return. If the Sharpe ratio of this risky asset is 0.8, then what is the prevailing risk-free rate of return (in %)?

Note:The answer is a single digit integer between 0-9.

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

6

Question Number : 323 Question Id : 6406531045752 Question Type : SA

Correct Marks : 4

Question Label : Short Answer Question

You purchase a one-year call option with a strike price of Rs 20 and a one-year put option with a strike price of Rs 20. The call premium is Rs 1, and the put premium is Rs 2. The current share price is Rs 19. If one year later, the share price decreases to Rs 15, then how much profit you earn (in Rs)?

Note:The answer is a single digit integer between 0-9.

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

2

Question Number : 324 Question Id : 6406531045753 Question Type : SA